



**Adani Wilmar Ltd (AWL), the country's largest edible oil producer and seller, has dominated the domestic market for years. But MD & CEO Angshu Mallick—a part of the ₹49,000-crore-plus AWL's founding team—wants to do more. The Ahmedabad-based company is now rapidly expanding its operations in the FMCG space—which posted revenues of ₹4,994 crore in FY24—with new capacity, greater distribution strength, and venturing into new categories. Mallick, 63, in an exclusive interaction with *Business Today's* Arnab Dutta, talks about the company's strategy, expansion plans, and what lies ahead. Edited excerpts:**

**Q:** What is AWL's business strategy?

**A:** The Adani Wilmar story has been that with edible oil, we have also grown the foods business. We always believed staples is a very big business. There isn't any national brand; rather, the market is dominated by regional players. But as the country's economy expands, consumption of better quality rice, wheat, sugar, as well as blending will take place, [and] value addition will happen. Currently, the entire business of staples is very small in terms of brand share, unlike edible oils, which in the past 20 years have grown because of big multinational companies entering [the space] and building it through capacity and technology. With this in mind, we embarked on the journey of foods.

**Q:** Why is AWL betting heavily on consumer staples, that is otherwise considered a low-margin business?

**A:** We started in 2014-15 with rice; in 2018 we entered the ready-to-cook [space], and today we have a range of all essential staples and ready-to-cook items, which cater to [everyone from the] urban rich to the poor and

rural households. The entire game of kitchen essentials lies in the ability to distribute at the least cost—procuring, processing, manufacturing and distributing at the least cost... So, if you were to do this only one product at a time, you will find that it is very difficult to reach the entire country with one brand. And with one product, the cost of handling becomes very high and so is the cost of manpower. Integrating all these results in a lot of synergy. Once you have synergy, there is a brand fit in all the products, and there's a distribution fit.

Just like a farmer increases his yield by planting different crops on the same land according to the season, integrating the plants with more products reduces the cost of operations. Warehouses can also be used seasonally. The technical staff can remain common. One can always shift whenever there is pressure on one commodity, because when wheat and mustard are harvested, it is off season for paddy. Further, efficient utilisation of the same stuff helps in easy processing. Common distributors handle all these products; the retailer is also common because he sells all the products. Then there is the consumer who consumes all the products. So, this entire chain has got a lot of synergy. And if we can use this with better quality products, processing, procurement, distribution and brand building, then you add value to the entire chain. We can give consumers good quality products at the most affordable price.

**“The transition from non-branded to branded items started some 20 years ago and continues to gain pace. The trend is going to sustain for the next 10 years”**

**Q:** How big is the potential for growth in the foods business in India, which has low per capita consumption?

**A:** If these [the above steps] can be done [effectively], then this business is enormous. In terms of size, edible oil is hardly 17-18 kg per head. But when you add other items like sugar, it is another 24 kg [per head]; pulses are around another 24 kg, while wheat is around 52 kg and rice 60 kg. So, all these products are much bigger in terms of volume than oil. This entire basket gets you volumes, which in turn give you the strength to procure or decide the price.